EXECUTIVE SUMMARY

ICICI earns 2.23% RoA; the banks behind it trail for three different reasons, so each needs a different lever

111 bp

SBI's RoA gap to ICICI; net interest income alone explains 114 bp. SBI's opex/assets is the lowest in the set

83 bp

Axis's gap: margin 57 bp + credit cost 41 bp (incl. Rs 2,001 cr one-off provision)

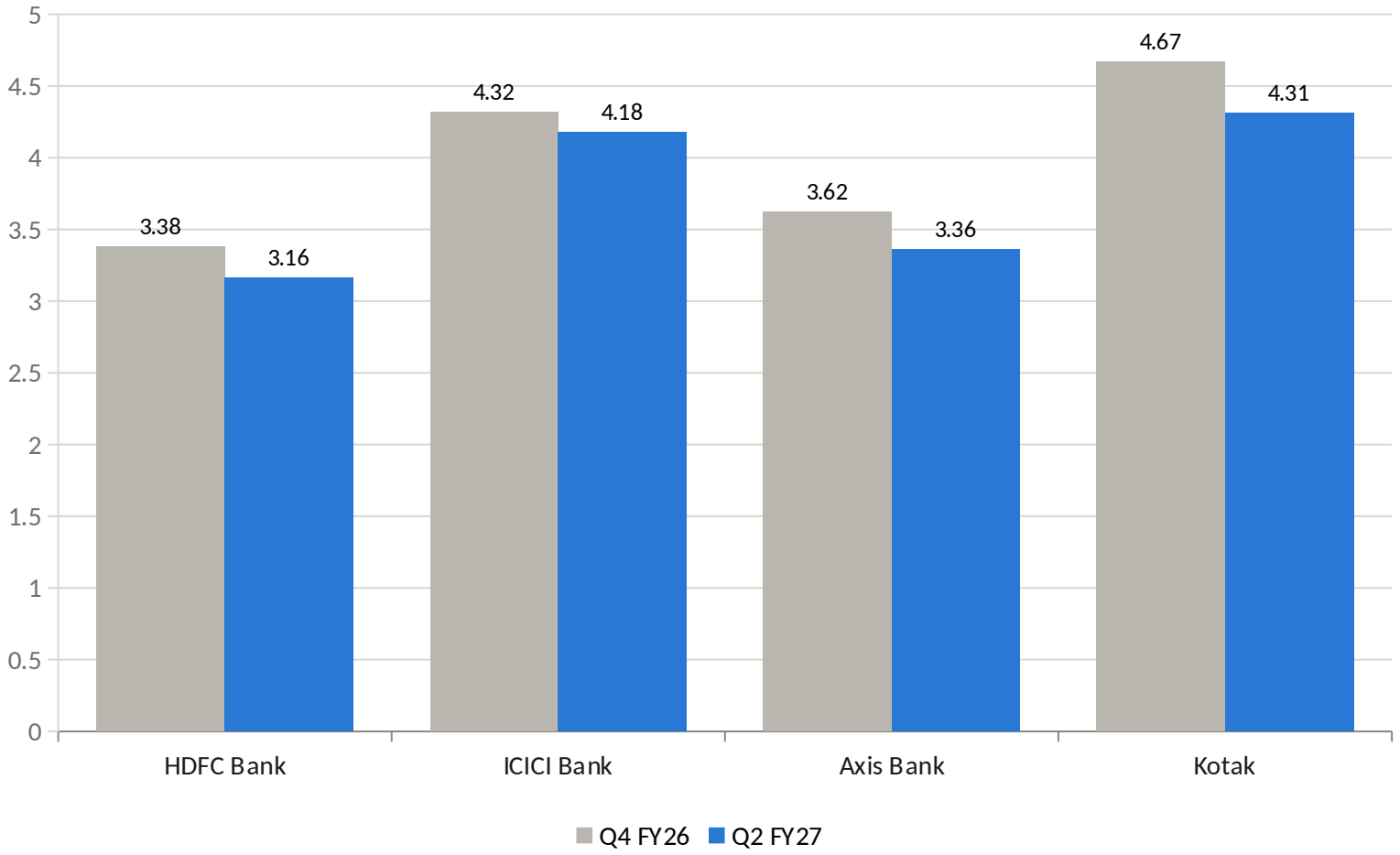
34 bp

Kotak's gap is cost: best NII margin, but opex absorbs 41 bp

Margins are now compressing across the board (every reported Q2 FY27 NIM is below Q4 FY26), so the levers that matter for FY27 are deposit franchise (SBI, HDFC), credit discipline (Axis) and cost-to-serve (Kotak).

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh

Margins are compressing everywhere: reported NIM fell 14-36 bp between Q4 FY26 and Q2 FY27



HDFC Bank: -22 bp
ICICI Bank: -14 bp
Axis Bank: -26 bp
Kotak: -36 bp

Asset yields reset faster than deposit costs in the down-rate cycle. NII, not asset quality, is the FY27 earnings swing factor.

Source: Bank investor presentations Q4 FY26 and Q2 FY27; HDFC NIM on total assets, others on interest-earning assets. SBI Q2 FY27 due 3 Nov 2026

PEER SCORECARD

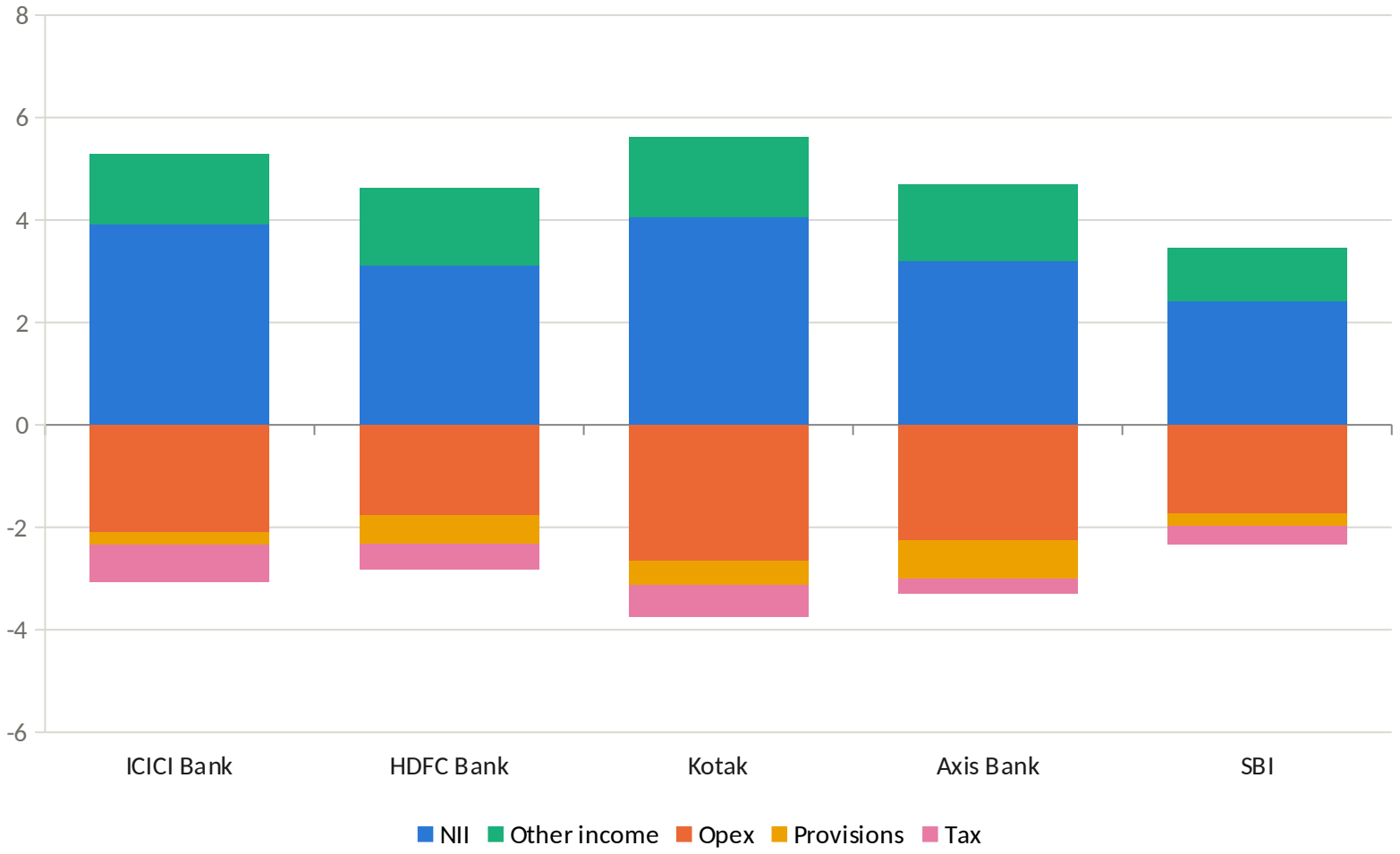
On the FY26 scorecard ICICI leads on RoA and RoE; SBI runs the leanest cost base but the thinnest margin

Bank	NII %	Other inc. %	Opex %	Provisions %	RoA %	RoE %	Cost/income %	GNPA %
ICICI Bank	3.92	1.37	2.10	0.24	**2.23**	15.9	39.7	1.40
HDFC Bank	3.11	1.51	1.76	0.57	**1.80**	14.0	38.0	1.15
Kotak	4.06	1.57	2.65	0.47	**1.90**	11.1	47.0	1.20
Axis Bank	3.21	1.49	2.25	0.76	**1.40**	12.7	47.9	1.23
SBI	2.42	1.03	1.73	0.25	**1.12**	16.2	50.1	1.49

Read across: highest NII margin (Kotak 4.06%) does not buy the highest RoA because opex is also highest (2.65%). SBI's 14.5x leverage lifts its RoE (16.2%) above HDFC's despite the lowest RoA.

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh. Ratios % of average assets; RoE on average net worth

The RoA tree shows margin builds returns and opex and provisions consume them, in different proportions by bank

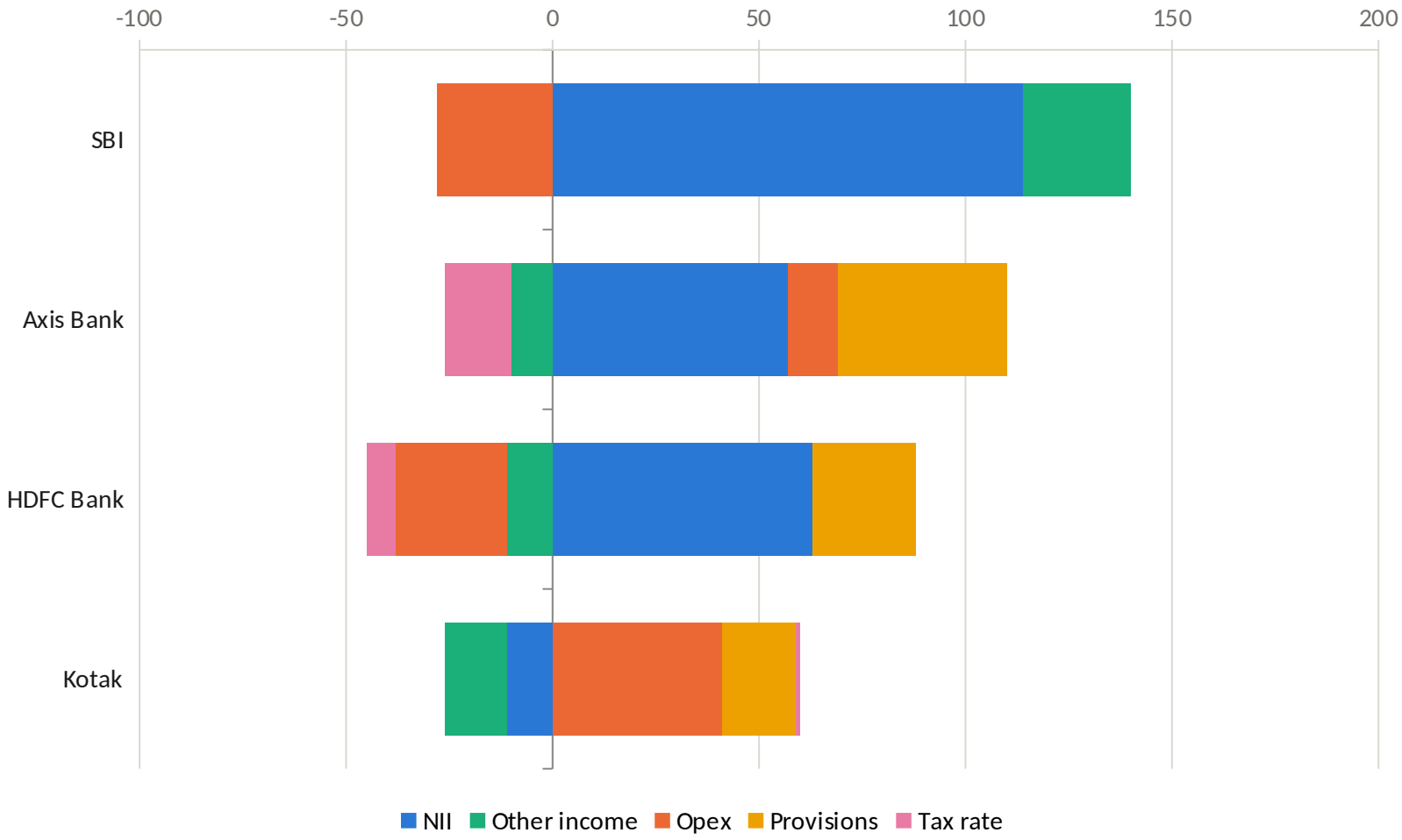


RoA (% of avg assets)
ICICI Bank: 2.23%
HDFC Bank: 1.80%
Kotak: 1.90%
Axis Bank: 1.40%
SBI: 1.12%

Computed RoA ties to reported within 10 bp (SBI exact); differences come from daily-average vs simple-average assets.

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh

Shapley attribution: SBI's gap is all margin, Axis's is margin plus credit cost, Kotak's is cost



bp of RoA gap to ICICI (positive = widens the gap)

SBI: 111 bp
Axis Bank: 83 bp
HDFC Bank: 43 bp
Kotak: 34 bp

Why Shapley: a sequential bridge assigns the tax-rate interaction to whichever line moves last; Shapley removes that ordering bias.

Source: pipeline/shapley.py: order-independent attribution over RoA = (NII + OI - opex - provisions) x (1 - tax rate); contributions sum exactly to the gap

Management margin guidance held for a few quarters at ICICI and Kotak, then broke in Q2 FY27; HDFC missed its stated range

Bank	Call	Management said (paraphrase)	What happened	Verdict
ICICI Bank	FY2025Q2	Margins broadly stable in the near term until the rate-cut cycle starts	4.41 (Q4FY25) -> 4.34 (Q1FY26) -> 4.30 (Q2FY26); within ~10 bp	Delivered
ICICI Bank	FY2026Q2	NIM range bound; some benefit from CRR cuts and term-deposit repricing	4.30 -> 4.32 -> 4.36 -> 4.18; range held 3 quarters then -18 bp in Q2FY27	Partly delivered
Kotak	FY2026Q2	NIM to improve gradually in H2FY26 as deposits reprice, assuming no further repo cuts	4.54 (Q3) -> 4.67 (Q4FY26); then 4.31 in Q2FY27	Delivered (H2FY26); reversed after
HDFC Bank	FY2025Q2	Margins to stay in a tight operating range (3.4-3.5%) in near and medium term	3.38 on total assets (Q4FY26); 3.16 total assets / 3.32 IEA (Q2FY27): below the stated range	Missed
HDFC Bank	FY2027Q2	NIM at the bottom; neutral-to-positive trajectory from here	Open - test at Q3FY27 results (Jan 2027)	Open
SBI	FY2026Q2	Long-term NIM above 3% through the cycle	Domestic 3.03% (meets); whole bank 2.91% (below)	Partly delivered
Axis Bank	FY2024Q1	We don't offer net interest margin guidance	3.97 (Q4FY25) -> 3.62 (Q4FY26) -> 3.36 (Q2FY27)	No guidance given

Source: FactIQ earnings-call claim graph (paraphrases; verbatim quotes linked in data/inputs/concall_say_do.csv); outcomes from bank decks

SO WHAT

Each bank has one lever worth pulling first: every 10 bp of margin is worth 7-8 bp of RoA after tax

Bank	Primary lever	Why (FY26 evidence)	+10 bp NII -> RoA	-25 bp credit cost -> RoA
SBI	Deposit franchise / pricing	NII explains the whole gap; opex already lowest	+7.6 bp	+19.0 bp
Axis Bank	Credit discipline + margin	Provisions 0.76% of assets, highest in set	+8.3 bp	+20.7 bp
Kotak	Cost-to-serve	Opex 2.65% of assets, highest in set	+7.5 bp	+18.8 bp
HDFC Bank	Post-merger margin rebuild	NII 63 bp below ICICI; CASA rebuild	+7.8 bp	+19.6 bp
ICICI Bank	Defend margin as rates turn	Q2 FY27 NIM 4.18%, -14 bp vs Q4	+7.6 bp	+18.9 bp

Next refresh: SBI Q2 FY27 (results 3 Nov 2026) drops into the same pipeline: python pipeline/screener.py SBIN && python pipeline/build_bank_facts.py

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh; sensitivity = shock x (1 - effective tax rate)

Appendix: method, definitions and data traps

- Standalone only; FY26 = Apr-25 to Mar-26; Q2 FY27 annualised x4 on (Mar-26 + Sep-26)/2 assets.
- Opex = Screener (Expenses + Depreciation) - provisions; equals deck opex for all banks where cited.
- SBI's 'Total Provisions' (Rs 42,983 cr) includes tax; ex-tax provisions = operating profit - PBT = Rs 17,538 cr.
- HDFC GNPA is 1.15% (secondary sites swap in NNPA 0.38%).
- One-offs not stripped: SBI Yes Bank stake gain Rs 4,593 cr; Axis one-time provision Rs 2,001 cr; HDFC transaction gains.
- NIM bases differ: HDFC reports on total assets, others on interest-earning assets.
- Workbook: models/01_Bank_RoA_Benchmark.xlsx (live formulas, checks tab).

Source: Bank investor presentations Q4 FY26 / Q2 FY27 (page-cited in data/inputs/bank_reported.csv); Screener.in standalone financials tied to filings; analysis by Anklesh